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Law-539: Alternate Dispute Resolution (Paper – IV) 5th Semester (Syllabus)

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UNIT – I

1. ADR: CONCEPT AND ITS METHODS – A BRIEF SURVEY

Alternative Dispute Resolution (ADR) refers to methods of resolving disputes **without, or with minimal, formal court litigation**. ADR provides parties with alternative mechanisms for settling disputes in a faster, less expensive and more flexible manner.

The main objective of ADR is to reduce delays and costs associated with traditional litigation and to encourage the peaceful settlement of disputes.

In India, ADR has gained significant importance because of the large number of pending cases before courts.

Meaning and Concept of ADR

ADR is a collective term used for different methods through which disputes are resolved outside the traditional court process.

ADR is generally based on:

- Voluntary participation;
- Mutual cooperation;
- Flexibility;
- Confidentiality;
- Speedy settlement; and

- Reduction of costs.

Some ADR processes result in a **binding decision**, while others help the parties themselves reach a mutually acceptable settlement.

Main Methods of ADR

The major methods of ADR are:

1. Arbitration

Arbitration is a process in which a dispute is referred to an independent person or tribunal, called an **arbitrator**, who gives a decision known as an **arbitral award**.

The award is generally binding upon the parties.

In India, arbitration is primarily governed by the **Arbitration and Conciliation Act, 1996**.

2. Mediation

Mediation is a voluntary and party-centred process in which a neutral third person, called a **mediator**, assists the parties in reaching a mutually acceptable settlement.

The mediator does not impose a decision upon the parties.

The settlement is reached through mutual discussion and agreement.

3. Conciliation

Conciliation is a process in which a neutral third person, called a **conciliator**, assists the parties in resolving their dispute.

The conciliator may play a more active role than a mediator and may suggest possible terms of settlement.

4. Negotiation

Negotiation is the simplest method of dispute resolution. The parties communicate directly with each other and attempt to resolve the dispute through discussion and compromise.

Generally, no neutral third party is involved.

5. Lok Adalat

Lok Adalat is an important mechanism for amicable settlement of disputes in India. It is based on compromise and settlement between the parties.

It functions under the **Legal Services Authorities Act, 1987**.

An award of Lok Adalat is generally treated as final and binding, and no appeal ordinarily lies against it.

Advantages of ADR

ADR has several advantages:

1. **Speedy disposal of disputes;**
2. **Lower cost** compared with ordinary litigation;
3. **Flexible procedure;**
4. **Confidentiality** in appropriate cases;
5. Preservation of business and personal relationships;
6. Greater participation of parties in resolving their disputes; and
7. Reduction of the burden on courts.

Limitations of ADR

ADR may not be suitable for every dispute. Certain disputes involving serious criminal offences, public rights or matters requiring authoritative judicial determination may not be appropriate for private settlement.

The success of ADR also depends upon the willingness and cooperation of the parties.

2. CONCEPT OF NEGOTIATION, MEDIATION AND CONCILIATION

A. Negotiation

Negotiation is a process in which the parties to a dispute communicate directly with each other to reach a settlement.

No third-party neutral is generally required.

Features

- Direct discussion between parties;
- Voluntary process;
- Flexible procedure;
- Parties control the outcome; and
- Settlement depends upon mutual agreement.

Example

A buyer and seller have a dispute regarding payment. They discuss the matter directly and agree upon a reduced amount and a revised payment schedule. This is negotiation.

B. Mediation

Mediation is a structured process in which a neutral third party, called a **mediator**, facilitates communication and negotiation between the disputing parties.

The mediator helps the parties understand each other's positions and explore possible solutions but **does not impose a decision**.

Features

- Neutral mediator;
- Voluntary and consensual process;
- Confidential nature;
- Parties retain control over the settlement; and
- Focus on mutually acceptable solutions.

Mediation is particularly useful in family disputes, commercial disputes and disputes where preserving relationships is important.

C. Conciliation

Conciliation is also a process involving a neutral third party known as a **conciliator**.

The conciliator assists the parties in reaching an amicable settlement and may take a more active role by suggesting possible solutions or settlement terms.

Features

- Neutral third party;
- Assistance in resolving disputes;
- Conciliator may suggest settlement proposals;

- Flexible procedure; and
- Settlement is based on agreement between the parties.

Difference Between Negotiation, Mediation and Conciliation

Basis	Negotiation	Mediation	Conciliation
Third party	Generally not involved	Mediator assists parties	Conciliator assists parties
Role of third party	Not applicable	Facilitates communication	May actively suggest settlement
Decision-making	Parties themselves	Parties themselves	Parties themselves
Outcome	Mutual agreement	Mutual settlement	Amicable settlement
Nature	Informal	Structured and facilitative	More interventionist

➤ Important Case Law

Afcons Infrastructure Ltd. v. Cherian Varkey Construction Co. (P) Ltd. (2010)

The Supreme Court discussed different methods of ADR and emphasized the importance of referring appropriate disputes for settlement through ADR mechanisms.

The case is important for understanding the role of **ADR in reducing litigation and promoting amicable settlement of disputes**.

Conclusion

ADR provides alternative and effective methods for resolving disputes outside traditional court litigation. The principal methods include **negotiation, mediation, conciliation, arbitration and Lok Adalat**.

Negotiation involves direct discussion between the parties, while mediation and conciliation involve the assistance of a neutral third person. These mechanisms promote **speedy, economical, flexible and amicable resolution of disputes**.

3. INTRODUCTION TO THE MEDIATION ACT, 2023

Introduction

The **Mediation Act, 2023** is an important legislation enacted to promote and regulate mediation as an effective method of dispute resolution in India. The Act aims to encourage the settlement of disputes through a **voluntary, confidential and party-centric process**.

The Act provides a legal framework relating to:

- Mediation;
- Mediators;
- Mediation agreements;
- Conduct of mediation proceedings;
- Online mediation; and
- Enforcement of mediated settlement agreements.

The Act recognizes mediation as an important mechanism for reducing litigation and promoting amicable settlement of disputes.

Important Definitions

The Mediation Act, 2023 defines several important terms.

1. Mediation

Mediation is a process in which parties attempt to resolve their dispute with the assistance of a neutral third person known as a **mediator**.

The mediator facilitates communication and negotiation between the parties but does not impose a decision upon them.

The settlement is based on the **mutual consent of the parties**.

2. Mediator

A **mediator** is a neutral person appointed to assist the parties in resolving their dispute through mediation.

The mediator may facilitate discussions, identify issues and assist the parties in exploring possible solutions.

However, the mediator does not act as a judge and cannot impose a binding decision on the parties.

Mediation Agreement

A **mediation agreement** is an agreement between the parties to submit an existing or future dispute to mediation.

The agreement may be contained:

- In a contract;
- In a separate agreement; or
- In another legally recognized written or recorded form.

A mediation agreement may relate to disputes which have already arisen or disputes which may arise in the future.

Example

A commercial contract may contain a clause stating that any dispute arising between the parties shall first be referred to mediation.

Such a clause may constitute a **mediation agreement**.

Mediation Proceedings

Mediation proceedings begin when the parties agree to submit their dispute to mediation or otherwise in accordance with the provisions of the Act.

The process is generally based on:

- Voluntary participation;
- Mutual consent;
- Confidentiality;
- Neutrality of the mediator; and
- Cooperation between the parties.

The mediator assists the parties in identifying the issues and reaching a mutually acceptable settlement.

The mediator may conduct:

- Joint meetings with both parties; and
- Separate meetings with individual parties.

The procedure is flexible and is not as formal as ordinary court proceedings.

Time Limit

The Mediation Act, 2023 provides for the completion of mediation within the prescribed statutory period, with the possibility of extension in accordance with the Act.

The purpose is to ensure **speedy resolution of disputes**.

Online Mediation

The Mediation Act, 2023 recognizes **online mediation** as a valid method of conducting mediation proceedings.

Online mediation may be conducted through electronic means, including:

- Video conferencing;
- Online communication platforms; and
- Other secure digital methods.

Online mediation may be used when the parties and mediator agree to conduct the proceedings through electronic means.

Advantages of Online Mediation

1. Saves time and travelling expenses;
2. Allows parties located in different places to participate;
3. Makes mediation more accessible;
4. Provides flexibility in conducting proceedings; and
5. Supports the use of technology in dispute resolution.

The use of online mediation must also ensure appropriate standards of **confidentiality, privacy and security**.

Important Features of the Mediation Act, 2023

The major features of the Act include:

1. Recognition and promotion of mediation as a dispute resolution mechanism;
2. Voluntary and party-centric settlement;
3. Recognition of mediation agreements;
4. Provision for institutional and online mediation;
5. Confidentiality of mediation proceedings;
6. Legal recognition of mediated settlement agreements; and
7. Promotion of speedy and amicable settlement of disputes.

➤ Important Case Law

M.R. Krishna Murthi v. New India Assurance Co. Ltd. (2019)

The Supreme Court emphasized the importance of mediation and other ADR mechanisms in reducing litigation and promoting amicable settlement of disputes.

Importance: The case reflects the growing importance of mediation in the Indian justice delivery system.

➤ Conclusion

The **Mediation Act, 2023** provides an important statutory framework for mediation in India. It recognizes mediation as a flexible, voluntary and confidential process in which a neutral mediator assists parties in resolving their disputes.

The recognition of **mediation agreements, structured mediation proceedings and online mediation** reflects the modern approach towards speedy and technology-based dispute resolution.

ARBITRATION AND CONCILIATION ACT, 1996 AND THE AMENDMENTS OF 2015 AND 2019

The **Arbitration and Conciliation Act, 1996** is the principal legislation governing arbitration and conciliation in India. The Act was enacted to provide a modern and effective mechanism for the resolution of commercial and other disputes outside the traditional court system.

The Act is broadly based on international standards, particularly the **UNCITRAL Model Law on International Commercial Arbitration** and the UNCITRAL Conciliation Rules.

The Act has been amended from time to time, especially by the **Arbitration and Conciliation (Amendment) Act, 2015** and the **Arbitration and Conciliation (Amendment) Act, 2019**, to make arbitration more efficient and reduce unnecessary judicial intervention.

1. Arbitration and Conciliation Act, 1996

The Act is broadly divided into different parts:

Part I – Arbitration

Part I deals mainly with arbitration conducted in India, including:

- Arbitration agreement;
- Appointment of arbitrators;
- Conduct of arbitral proceedings;
- Arbitral awards;
- Interim measures; and
- Challenge and enforcement of awards.

Part II – Enforcement of Certain Foreign Awards

This Part deals with the enforcement of foreign arbitral awards, particularly under:

- The New York Convention; and
- The Geneva Convention.

Part III – Conciliation

Part III originally provided the legal framework for conciliation proceedings in India. The **Mediation Act, 2023** has since substantially changed the legal framework relating to conciliation, so the present position must be understood along with the Mediation Act, 2023.

Important Features of Arbitration

Arbitration Agreement

An arbitration agreement is an agreement between parties to submit disputes to arbitration.

It may relate to:

- Existing disputes; or
- Future disputes.

The agreement must satisfy the legal requirements prescribed under the Act.

Arbitrator

An **arbitrator** is a neutral person appointed to decide the dispute between the parties.

Unlike a mediator or conciliator, an arbitrator gives a decision called an **arbitral award**, which is generally binding upon the parties.

Arbitral Award

An arbitral award is the final decision of the arbitral tribunal.

The award may be challenged before a Court only on limited grounds provided under **Section 34** of the Act.

2. Arbitration and Conciliation (Amendment) Act, 2015

The **2015 Amendment** was a major reform intended to make arbitration in India faster and more effective.

Important changes included:

(i) Interim Measures – Section 9

The amendment clarified the powers of Courts to grant interim measures before, during or after arbitration proceedings.

(ii) Powers of Arbitral Tribunal – Section 17

The powers of an arbitral tribunal to grant interim measures were strengthened, making such orders enforceable in a manner similar to orders of a Court.

(iii) Independence and Impartiality of Arbitrators

Important provisions were introduced to ensure the independence and impartiality of arbitrators.

Certain relationships or circumstances which may create doubts regarding the impartiality of an arbitrator were specifically recognized.

(iv) Time Limit for Award

The amendment introduced **Section 29A**, providing a time limit for making an arbitral award in domestic arbitration, subject to extensions in accordance with law.

(v) Limited Court Intervention

The amendment strengthened the principle that Courts should interfere in arbitration only to the extent permitted by the Act.

3. Arbitration and Conciliation (Amendment) Act, 2019

The **2019 Amendment** introduced further reforms to strengthen the institutional arbitration system in India.

Important changes included:

(i) Promotion of Institutional Arbitration

The amendment aimed to promote arbitration through recognized arbitral institutions rather than relying entirely on ad hoc arbitration.

(ii) Arbitration Council of India

The amendment introduced provisions relating to the **Arbitration Council of India (ACI)** with the objective of promoting and developing arbitration in India.

(iii) Appointment of Arbitrators

The amended framework provided for the designation of arbitral institutions for the appointment of arbitrators.

This was intended to make the appointment process more efficient.

(iv) Confidentiality

The amendment introduced **Section 42A**, which provides for confidentiality of arbitration proceedings, except where disclosure is necessary for the implementation and enforcement of an arbitral award.

(v) Time Limit

The amendment also modified the provisions relating to the time period for completion of arbitral proceedings.

The objective was to ensure the speedy disposal of arbitration matters while recognizing the practical requirements of different types of disputes.

➤ Important Case Laws

BALCO v. Kaiser Aluminium Technical Services Inc. (2012)

The Supreme Court clarified the territorial scope of Part I of the Arbitration and Conciliation Act, 1996.

Importance: The case is a landmark decision relating to the concept of the **seat of arbitration** and the applicability of Indian arbitration law.

Bharat Broadband Network Ltd. v. United Telecoms Ltd. (2019)

The Supreme Court emphasized the importance of the independence and impartiality of arbitrators and interpreted the provisions relating to the ineligibility of arbitrators.

Vidya Drolia v. Durga Trading Corporation (2021)

The Supreme Court laid down important principles regarding the **arbitrability of disputes** and the limited role of Courts at the stage of referring parties to arbitration.

➤ Conclusion

The **Arbitration and Conciliation Act, 1996** forms the foundation of arbitration law in India. The **2015 Amendment** focused mainly on reducing delay, strengthening arbitral tribunals and limiting unnecessary court intervention.

The **2019 Amendment** further promoted **institutional arbitration, confidentiality and efficient appointment of arbitrators**. Together with subsequent legal developments, these reforms aim to make India a more effective and reliable centre for dispute resolution.

5. MEANING OF ARBITRATION, ESSENTIALS OF ARBITRATION AND ARBITRATION AGREEMENT

1. Meaning of Arbitration

Arbitration is a method of Alternative Dispute Resolution in which the parties agree to submit their dispute to one or more neutral persons, known as **arbitrators**, instead of approaching an ordinary court.

The arbitrator hears both parties and gives a decision known as an **arbitral award**, which is generally binding upon the parties.

Arbitration in India is principally governed by the **Arbitration and Conciliation Act, 1996**, as amended from time to time.

Simple Definition

Arbitration is a private method of dispute resolution in which parties voluntarily submit their dispute to an impartial arbitrator for a binding decision.

2. Essentials of Arbitration

The following are the main essentials of arbitration:

(i) Existence of a Dispute

There must be an actual or possible dispute between the parties. The dispute may arise out of a contract or another legal relationship.

(ii) Agreement Between the Parties

Arbitration is based on the **consent of the parties**. The parties must agree to refer their disputes to arbitration.

(iii) Reference to a Neutral Arbitrator

The dispute must be referred to an independent and impartial person or arbitral tribunal.

The arbitrator acts as a neutral decision-maker.

(iv) Opportunity of Hearing

Both parties must be given a fair and reasonable opportunity to present their case and produce their evidence.

The principles of **natural justice** must be followed.

(v) Decision by the Arbitrator

After considering the submissions and evidence of the parties, the arbitral tribunal gives its decision in the form of an **arbitral award**.

(vi) Binding Nature of Award

An arbitral award is generally binding upon the parties and can be challenged only on the limited grounds provided under the Arbitration and Conciliation Act, 1996.

(vii) Limited Judicial Intervention

Courts cannot ordinarily interfere with arbitral proceedings except to the extent permitted by law.

This ensures the independence and effectiveness of arbitration.

3. Arbitration Agreement – Section 7

Under **Section 7 of the Arbitration and Conciliation Act, 1996**, an arbitration agreement is an agreement by the parties to submit to arbitration **all or certain disputes** which have arisen or may arise between them in respect of a defined legal relationship, whether contractual or not.

Thus, an arbitration agreement may relate to:

- Existing disputes; or
- Future disputes.

Form of Arbitration Agreement

An arbitration agreement must generally be **in writing**. It may be contained:

1. In a separate agreement;
2. As an arbitration clause in a contract;
3. Through an exchange of letters, communications or other legally recognized records showing an agreement to arbitrate.

Example

A contract between A and B contains the following clause:

“Any dispute arising out of this agreement shall be referred to arbitration.”

Such a clause is known as an **arbitration clause**.

Essentials of a Valid Arbitration Agreement

A valid arbitration agreement should contain:

1. **Consent of the parties** to submit disputes to arbitration;
2. A clearly identifiable **legal relationship** between the parties;
3. An intention that disputes shall be decided through arbitration;
4. A defined scope of disputes covered by the agreement; and
5. Compliance with the legal requirement regarding its form.

➤ Important Case Laws

K.K. Modi v. K.N. Modi (1998)

The Supreme Court discussed the essential characteristics of arbitration and emphasized that the parties must intend to refer disputes to a private tribunal for a binding decision.

Importance: The case explains the basic nature and essential features of arbitration.

Jagdish Chander v. Ramesh Chander (2007)

The Supreme Court held that an arbitration agreement must show a clear intention of the parties to refer disputes to arbitration.

A mere possibility of referring disputes to arbitration is not sufficient.

➤ Conclusion

Arbitration is an important method of ADR in which disputes are resolved by a neutral arbitrator instead of an ordinary court. Its foundation is the **agreement and consent of the parties**.

The most important requirement is a valid **arbitration agreement under Section 7**, through which the parties agree to submit existing or future disputes arising from a defined legal relationship to arbitration.

UNIT – II

1. SCOPE OF JUDICIAL INTERFERENCE IN ARBITRATION, REFERENCE OF DISPUTES AND INTERIM RELIEF

Introduction

One of the basic principles of arbitration is **minimum judicial intervention**. The Arbitration and Conciliation Act, 1996 allows the parties to resolve their disputes through arbitration while limiting unnecessary interference by courts.

However, judicial intervention is permitted at certain important stages, such as:

- Reference of parties to arbitration;
- Appointment of arbitrators;
- Grant of interim relief;
- Challenge to arbitral awards; and
- Enforcement of awards.

1. Scope of Judicial Interference in Arbitration

Section 5 – Extent of Judicial Intervention

Section 5 provides that, in matters governed by Part I of the Act, **no judicial authority shall intervene except where so provided in the Act**.

Thus, courts cannot interfere with arbitration proceedings merely because they may have taken a different view of the dispute.

The role of the court is generally supervisory and limited to matters specifically provided under the Act.

Main Situations Where Courts May Intervene

Courts may intervene in matters relating to:

1. Reference of parties to arbitration – **Section 8**;
2. Appointment of arbitrators – **Section 11**;
3. Interim measures – **Section 9**;
4. Assistance in taking evidence – **Section 27**;
5. Setting aside an arbitral award – **Section 34**; and

6. Enforcement of an arbitral award.

2. Reference of Disputes to Arbitration

Section 8 – Power of Judicial Authority to Refer Parties to Arbitration

Where an action is brought before a judicial authority in a matter covered by a valid arbitration agreement, the judicial authority may refer the parties to arbitration, subject to the requirements of Section 8.

The party seeking arbitration must apply before submitting its **first statement on the substance of the dispute**.

The application must be supported by the arbitration agreement or its duly certified copy, subject to the provisions of the Act.

The basic purpose of Section 8 is to ensure that where parties have agreed to resolve disputes through arbitration, they should ordinarily be referred to arbitration instead of continuing ordinary court litigation.

3. Interim Relief

Interim relief means temporary protection granted to a party before the final decision of the dispute.

Such relief may be necessary to:

- Preserve property;
- Prevent disposal of assets;
- Protect evidence;
- Maintain the existing position of the parties; or
- Prevent irreparable loss.

Section 9 – Interim Measures by Court

Under Section 9, a party may apply to a Court for interim measures:

1. **Before the commencement of arbitral proceedings;**
2. **During arbitral proceedings; or**
3. **After the arbitral award but before its enforcement.**

The Court may grant appropriate protection, including:

- Appointment of a guardian;
- Preservation or sale of goods;
- Securing the amount in dispute;
- Detention, preservation or inspection of property; and
- Interim injunction or appointment of a receiver.

Important Point

After the arbitral tribunal has been constituted, the Court shall ordinarily not entertain an application under Section 9 unless the remedy under Section 17 is found to be ineffective.

Section 17 – Interim Measures by Arbitral Tribunal

The arbitral tribunal also has the power to grant interim measures during arbitral proceedings.

It may order a party to take necessary steps for the protection or preservation of the subject matter of the dispute.

An order passed by the arbitral tribunal under Section 17 is enforceable in the same manner as an order of the Court, subject to the provisions of the Act.

Difference Between Section 9 and Section 17

Basis	Section 9	Section 17
Authority Court		Arbitral Tribunal
Stage	Before, during or after arbitration	During arbitral proceedings
Purpose	Interim protection	Interim protection
Nature	Judicial remedy	Remedy before arbitral tribunal

➤ Important Case Laws

P. Anand Gajapathi Raju v. P.V.G. Raju (2000)

The Supreme Court held that where the requirements of Section 8 are satisfied, the judicial authority should refer the parties to arbitration.

Importance: It is an important case regarding reference of disputes to arbitration.

Booz Allen and Hamilton Inc. v. SBI Home Finance Ltd. (2011)

The Supreme Court discussed the concept of **arbitrability** and explained that certain disputes may be suitable for arbitration, while others involving rights in rem or matters of public interest may require determination by courts.

Vidya Drolia v. Durga Trading Corporation (2021)

The Supreme Court laid down important principles regarding the **arbitrability of disputes** and clarified the limited scope of judicial examination at the stage of referring parties to arbitration.

Sundaram Finance Ltd. v. NEPC India Ltd. (1999)

The Supreme Court held that a party may seek interim relief under Section 9 even before the commencement of arbitral proceedings, provided that there is a genuine intention to commence arbitration.

➤ Conclusion

The Arbitration and Conciliation Act, 1996 is based on the principle of **limited judicial interference**. Section 5 restricts unnecessary intervention by courts, while Sections 8, 9 and 17 provide important mechanisms relating to the **reference of disputes and interim protection**.

The objective is to maintain the independence and efficiency of arbitration while allowing courts to intervene where judicial assistance is genuinely required.

2. ARBITRATORS: NUMBER, APPOINTMENT, REMOVAL, TERMINATION OF MANDATE AND SUBSTITUTION

Introduction

An **arbitrator** is a neutral person appointed to decide a dispute referred to arbitration. The arbitrator performs a quasi-judicial function and must act **independently, impartially and fairly**.

The Arbitration and Conciliation Act, 1996 contains provisions relating to the **number, appointment, challenge, removal, termination of mandate and substitution of arbitrators**.

1. Number of Arbitrators – Section 10

Under **Section 10**, the parties are free to determine the number of arbitrators.

However, the number of arbitrators **shall not be an even number**.

If the parties fail to determine the number, the arbitral tribunal shall consist of a **sole arbitrator**.

Example

The parties may agree to appoint:

- One arbitrator; or
- Three arbitrators.

2. Appointment of Arbitrators – Section 11

The parties are free to agree upon a procedure for the appointment of arbitrators.

Sole Arbitrator

Where there is a sole arbitrator and the parties fail to agree upon the appointment, the appointment may be made according to the procedure provided under Section 11.

Three Arbitrators

Generally, each party appoints one arbitrator, and the two appointed arbitrators appoint the **presiding arbitrator**.

Where the agreed procedure fails, an appropriate appointment may be made through the mechanism provided under Section 11.

The Court or designated arbitral institution has a limited role and generally examines the **existence of an arbitration agreement**.

3. Independence and Impartiality – Section 12

A proposed arbitrator must disclose in writing any circumstances likely to give rise to **justifiable doubts regarding his independence or impartiality**.

The Act also provides that certain relationships or circumstances may make a person **ineligible** to act as an arbitrator.

The purpose is to ensure a fair and unbiased arbitral process.

4. Challenge and Removal of Arbitrator – Sections 12 and 13

An arbitrator may be challenged where:

- Circumstances give rise to justifiable doubts about his independence or impartiality; or
- He does not possess qualifications agreed upon by the parties.

The parties may agree upon a procedure for challenging an arbitrator. If no procedure is agreed, the challenge must be made according to the procedure provided under the Act.

If the challenge is unsuccessful, the arbitral proceedings may continue, and the party may subsequently raise the issue while challenging the arbitral award under **Section 34**.

5. Termination of Mandate – Section 14

The mandate of an arbitrator terminates if:

1. He becomes **de jure or de facto unable** to perform his functions; or
2. For other reasons, he fails to act without undue delay.

The mandate may also terminate if the arbitrator withdraws from office or the parties agree to terminate his mandate.

If a dispute arises regarding termination, a party may apply to the Court for a decision.

6. Termination by Withdrawal or Agreement – Section 15

The mandate of an arbitrator terminates:

- When he withdraws from office; or
- When the parties agree to terminate his mandate.

This may also occur after a successful challenge under the relevant provisions

7. Substitution of Arbitrator

Where the mandate of an arbitrator terminates, a **substitute arbitrator** is appointed according to the same rules that applied to the appointment of the arbitrator being replaced.

The substitute arbitrator may continue the proceedings from the stage already reached or repeat previous hearings, depending upon the circumstances and the applicable provisions of the Act.

➤ Important Case Laws

TRF Ltd. v. Energo Engineering Projects Ltd. (2017)

The Supreme Court held that a person who is himself ineligible to act as an arbitrator cannot nominate another person as an arbitrator.

Principle: The independence and impartiality of the arbitral process must be protected.

Perkins Eastman Architects DPC v. HSCC (India) Ltd. (2019)

The Supreme Court held that a person having an interest in the outcome of the dispute should not have the exclusive power to appoint a sole arbitrator.

Importance: The case strengthened the principle of neutrality in the appointment of arbitrators.

Bharat Broadband Network Ltd. v. United Telecoms Ltd. (2019)

The Supreme Court clarified the law relating to the ineligibility of arbitrators and termination of their mandate.

Conclusion

The Arbitration and Conciliation Act, 1996 gives considerable freedom to parties in determining the **number and appointment of arbitrators**, while ensuring their **independence and impartiality**.

Sections **10 to 15** provide the legal framework relating to the constitution of the arbitral tribunal, challenge and termination of an arbitrator's mandate, and the appointment of a substitute arbitrator.

UNIT – III

1. JURISDICTION OF ARBITRAL TRIBUNAL, CONDUCT OF ARBITRAL PROCEEDINGS, DETERMINATION OF RULES OF PROCEDURE, MAKING OF ARBITRAL AWARDS, RULES APPLICABLE TO THE SUBSTANCE OF DISPUTE AND RECOURSE AGAINST ARBITRAL AWARD

Introduction

The Arbitration and Conciliation Act, 1996 provides a complete framework regarding the powers and jurisdiction of an arbitral tribunal, the conduct of arbitral proceedings and the making and challenge of arbitral awards.

One of the important principles of arbitration is **party autonomy**. The parties are given considerable freedom to decide the procedure, place, language and other matters relating to arbitration. At the same time, the Act ensures that both parties are treated equally and are given a proper opportunity to present their case.

The relevant provisions are mainly contained in **Sections 16 to 34 of the Arbitration and Conciliation Act, 1996**.

PART I – JURISDICTION OF THE ARBITRAL TRIBUNAL

1. Meaning of Jurisdiction

Jurisdiction means the legal authority or power of the arbitral tribunal to hear and decide a dispute.

An important question may arise as to whether:

- A valid arbitration agreement exists;
- The tribunal has been properly constituted;
- The particular dispute falls within the arbitration agreement; or
- The arbitral tribunal has exceeded the scope of its authority.

The Arbitration and Conciliation Act recognizes the principle that an arbitral tribunal can decide certain questions relating to its **own jurisdiction**.

2. Competence of Arbitral Tribunal to Rule on Its Own Jurisdiction – Section 16

Section 16 incorporates the principle of “**Kompetenz-Kompetenz**”, which means that the arbitral tribunal has the power to rule on its own jurisdiction.

The tribunal may decide objections regarding:

1. The existence of the arbitration agreement;
2. The validity of the arbitration agreement; and
3. Whether the tribunal has jurisdiction over the dispute.

This principle reduces unnecessary interference by courts at the initial stage of arbitration.

3. Doctrine of Separability

Section 16 also recognizes the doctrine of **separability** of the arbitration clause.

An arbitration clause contained in a contract is treated as an agreement independent from the other terms of the contract.

Therefore, even if the main contract is alleged to be:

- Invalid;
- Void;
- Terminated; or
- Unenforceable,

the arbitration agreement may still remain valid.

Example

A and B enter into a contract containing an arbitration clause. Later, A argues that the entire contract is void. The arbitration clause does not automatically become invalid merely because the main contract is challenged.

The arbitral tribunal may decide the dispute relating to the validity of the contract.

4. Objection Regarding Jurisdiction

An objection that the arbitral tribunal does not have jurisdiction should generally be raised not later than the submission of the statement of defence.

A party does not lose the right to raise such an objection merely because that party participated in the appointment of an arbitrator.

An objection that the arbitral tribunal is exceeding the scope of its authority should be raised as soon as the relevant matter arises during the proceedings.

The tribunal may admit a delayed objection if it considers the delay justified.

5. Decision on Jurisdiction

The arbitral tribunal may decide an objection regarding its jurisdiction:

- As a preliminary issue; or
- Along with the final arbitral award.

Where the tribunal rejects a jurisdictional objection and continues with the proceedings, the party may challenge the final award under the provisions of **Section 34**.

Where the tribunal accepts the plea of lack of jurisdiction and terminates the proceedings, the aggrieved party may seek an appropriate remedy as provided under the Act.

PART II – CONDUCT OF ARBITRAL PROCEEDINGS

1. Equal Treatment of Parties – Section 18

Section 18 provides an important principle of natural justice.

The parties shall be:

- Treated with equality; and
- Given a full opportunity to present their case.

This provision ensures fairness in arbitral proceedings.

The arbitral tribunal must not act arbitrarily or give an unfair advantage to one party.

2. Determination of Rules of Procedure – Section 19

The Arbitration and Conciliation Act, 1996 gives substantial freedom to the parties regarding the procedure to be followed in arbitration.

The parties are free to agree upon the procedure to be followed by the arbitral tribunal.

If the parties fail to agree, the tribunal may conduct the proceedings in the manner it considers appropriate.

The arbitral tribunal is **not bound by the Code of Civil Procedure, 1908 or the Indian Evidence Act, 1872**. However, it must follow the principles of fairness and natural justice.

The tribunal may determine:

- The manner of conducting hearings;
- Production of documents;
- Submission of evidence;
- Examination of witnesses; and
- Other procedural matters.

Thus, arbitration provides greater procedural flexibility than ordinary court proceedings.

3. Place of Arbitration – Section 20

The parties are free to agree upon the **place of arbitration**.

If they fail to agree, the place shall be determined by the arbitral tribunal after considering the circumstances and convenience of the parties.

The tribunal may also meet at another place for purposes such as:

- Consultation;
- Hearing witnesses or experts;
- Inspection of documents or property; or

- Other procedural purposes.

The distinction between the **seat of arbitration** and the physical venue of hearings is important in arbitration law.

4. Commencement of Arbitral Proceedings – Section 21

Unless otherwise agreed, arbitral proceedings commence on the date on which the respondent receives a request from the claimant to refer the dispute to arbitration.

The date of commencement may be important for purposes such as limitation and the commencement of legal proceedings.

5. Language – Section 22

The parties are free to agree upon the language or languages to be used in the arbitral proceedings.

In the absence of such agreement, the arbitral tribunal determines the language to be used.

The chosen language may apply to:

- Written statements;
- Hearings;
- Documents; and
- The arbitral award.

6. Statements of Claim and Defence – Section 23

The claimant must state:

- The facts supporting his claim;
- The points in issue; and
- The relief or remedy sought.

The respondent must state his defence in respect of these particulars.

The parties may also submit documents and other evidence supporting their respective cases.

The respondent may also make a **counterclaim or set-off**, provided it falls within the scope of the arbitration agreement.

7. Hearings and Written Proceedings – Section 24

Unless otherwise agreed by the parties, the arbitral tribunal may decide whether to conduct:

- Oral hearings; or
- Proceedings on the basis of documents and other written materials.

However, where a party requests an oral hearing, the tribunal shall hold such hearing at an appropriate stage, subject to the provisions of the Act and the agreement between the parties.

Proper notice must be given to both parties regarding hearings and meetings of the tribunal.

8. Default of a Party – Section 25

If the claimant fails to communicate his statement of claim without sufficient cause, the tribunal may terminate the proceedings.

If the respondent fails to communicate his statement of defence, the tribunal may continue the proceedings. However, such failure is not automatically treated as an admission of the claimant's allegations.

Where a party fails to appear at a hearing or produce documentary evidence, the tribunal may continue the proceedings and make an award based upon the available evidence.

9. Expert Appointed by Arbitral Tribunal – Section 26

The arbitral tribunal may appoint one or more experts to report on specific issues.

The expert may be required to:

- Examine particular matters;
- Submit a written or oral report; or
- Participate in a hearing where the parties may question the expert.

The tribunal may also require the parties to provide relevant information or access to documents and property for the purpose of expert examination.

10. Court Assistance in Taking Evidence – Section 27

The arbitral tribunal or a party with the approval of the tribunal may seek assistance from the Court in taking evidence.

The Court may assist in matters such as:

- Summoning witnesses;
- Compelling attendance;
- Production of documents; or
- Other necessary evidence.

Thus, although arbitration is an independent process, judicial assistance may be available where necessary for effective collection of evidence.

PART III – MAKING OF ARBITRAL AWARDS

1. Rules Applicable to the Substance of the Dispute – Section 28

Section 28 deals with the law applicable to the substance of the dispute.

Domestic Arbitration

In an arbitration other than an international commercial arbitration, the arbitral tribunal shall decide the dispute according to the **substantive law in force in India**.

International Commercial Arbitration

In an international commercial arbitration, the parties are free to choose the rules of law applicable to the substance of the dispute.

If the parties fail to choose the applicable law, the arbitral tribunal shall apply the rules of law it considers appropriate according to the circumstances of the case.

The tribunal must also take into account:

- The terms of the contract; and
- Applicable trade usages.

The tribunal may decide a dispute according to principles of equity only when the parties have expressly authorized it to do so.

2. Decision by Majority – Section 29

In proceedings before an arbitral tribunal consisting of more than one arbitrator, decisions are generally made by a **majority of all members**.

Questions relating to procedure may, if authorized by the parties or the tribunal, be decided by the presiding arbitrator.

3. Time Limit for Arbitral Award – Section 29A

Section 29A aims to ensure the timely completion of arbitration.

The Act provides a statutory framework for making an arbitral award within the prescribed period, subject to extensions in accordance with law.

The parties may extend the time within the limits permitted by the Act, and further extension may be sought from the competent Court.

The Court may also take appropriate action where delay is attributable to the arbitral tribunal.

The object of this provision is to prevent unnecessary delay in arbitration proceedings.

4. Settlement During Arbitral Proceedings – Section 30

The arbitral tribunal may encourage the parties to settle their dispute.

With the agreement of the parties, the tribunal may use:

- Mediation;
- Conciliation; or
- Other procedures for settlement.

If the parties reach a settlement, the tribunal may terminate the proceedings. If requested by the parties and not objected to by the tribunal, the settlement may be recorded in the form of an **arbitral award on agreed terms**.

Such an award has the same status and effect as any other arbitral award.

5. Form and Contents of Arbitral Award – Section 31

An arbitral award must generally:

- Be made in writing;
- Be signed by the members of the arbitral tribunal;
- State the reasons upon which it is based, unless reasons are not required by agreement or in the case of an award on agreed terms;
- State the date; and
- State the place of arbitration.

A signed copy of the award must be delivered to each party.

6. Termination of Proceedings – Section 32

Arbitral proceedings are terminated by:

1. The final arbitral award; or
2. An order of the arbitral tribunal terminating the proceedings.

The tribunal may terminate proceedings where:

- The claimant withdraws his claim;
- The parties agree to terminate the proceedings; or
- Continuation of proceedings has become unnecessary or impossible.

7. Correction and Interpretation of Award – Section 33

Within the prescribed period, a party may request the arbitral tribunal to:

- Correct clerical, typographical or similar errors;
- Give an interpretation of a specific point of the award, where agreed by the parties; or

- Make an additional award regarding claims presented but omitted from the award.

This provision allows limited correction without reopening the entire dispute.

PART IV – RECOURSE AGAINST ARBITRAL AWARD

Meaning of Recourse

An arbitral award is intended to be final and binding. Therefore, an appeal on the merits of the dispute is generally not available.

The principal remedy against an arbitral award is an application for **setting aside the award under Section 34**.

The Court does not normally act as an appellate court to re-examine the evidence or substitute its own decision for that of the arbitrator.

Section 34 – Application for Setting Aside Arbitral Award

An arbitral award may be set aside only on the grounds specified in Section 34.

Important Grounds

An award may be challenged where:

1. Incapacity of a Party

A party to the arbitration agreement was under some legal incapacity.

2. Invalid Arbitration Agreement

The arbitration agreement was not valid under the applicable law.

3. Lack of Proper Notice

A party was not given proper notice regarding:

- Appointment of an arbitrator; or
- Arbitral proceedings.

4. Inability to Present the Case

A party was otherwise unable to properly present its case.

5. Award Beyond the Scope of Submission

The award deals with disputes or decisions beyond the scope of matters submitted to arbitration.

6. Improper Composition or Procedure

The composition of the arbitral tribunal or the arbitral procedure was not in accordance with the agreement of the parties or the applicable law.

7. Subject Matter Not Capable of Arbitration

The subject matter of the dispute is not capable of settlement through arbitration under Indian law.

8. Conflict with Public Policy of India

An award may be set aside if it is in conflict with the **public policy of India**.

The scope of public policy has been interpreted narrowly by courts. It does not permit the Court to conduct a complete re-hearing of the dispute.

9. Patent Illegality

In certain domestic arbitrations, an award may be challenged on the ground of **patent illegality appearing on the face of the award**, subject to the limitations provided under Section 34.

However, an award cannot be set aside merely because the Court disagrees with the interpretation of evidence or takes a different view on the merits.

Limitation for Filing Application – Section 34(3)

An application for setting aside an arbitral award must generally be made within **three months** from the date on which the party received the arbitral award.

The Court may allow a further period of **up to thirty days** if sufficient cause for the delay is shown.

After this extended period, the application cannot ordinarily be entertained.

➤ Important Case Laws

Kvaerner Cementation India Ltd. v. Bajranglal Agarwal (2012)

The Supreme Court reaffirmed the principle that an arbitral tribunal has the power to decide objections relating to its own jurisdiction under Section 16.

Principle: Jurisdictional objections should ordinarily be dealt with through the mechanism provided under the Arbitration and Conciliation Act.

BALCO v. Kaiser Aluminium Technical Services Inc. (2012)

The Supreme Court emphasized the importance of the **seat of arbitration** and clarified important principles relating to the territorial jurisdiction of courts in arbitration matters.

Associate Builders v. Delhi Development Authority (2015)

The Supreme Court explained the scope of judicial intervention under Section 34 and discussed the meaning of **public policy** in relation to arbitral awards.

Ssangyong Engineering & Construction Co. Ltd. v. NHAI (2019)

The Supreme Court clarified the limited scope of interference with arbitral awards after the amendments to the Arbitration and Conciliation Act.

Principle: Courts cannot interfere with an arbitral award merely because another interpretation or view is possible.

Delhi Airport Metro Express Pvt. Ltd. v. DMRC (2022)

The Supreme Court reiterated that courts exercising jurisdiction under Section 34 should not act as appellate courts and should not reassess evidence merely to arrive at a different conclusion.

Conclusion

The Arbitration and Conciliation Act, 1996 provides a comprehensive framework for the functioning of arbitral tribunals and the conduct of arbitration proceedings. The tribunal has the power to decide questions relating to its jurisdiction, while the parties enjoy substantial freedom in determining the procedure.

The Act also regulates the applicable law, making of arbitral awards and their correction or interpretation. An arbitral award can be challenged mainly through **Section 34**, but judicial interference is deliberately kept limited.

Thus, the overall objective of the arbitration law is to ensure **party autonomy, procedural flexibility, speedy disposal of disputes, finality of arbitral awards and minimum judicial intervention**.

UNIT – IV

1. FOREIGN AWARD: MEANING AND CONDITIONS OF ENFORCEMENT UNDER GENEVA AND NEW YORK CONVENTIONS

International commercial transactions often involve parties belonging to different countries. When disputes arising from such transactions are resolved through arbitration, the arbitral award may be made in a country different from the country where its enforcement is sought. Such an award is known as a **foreign award**.

The enforcement of foreign arbitral awards in India is mainly governed by **Part II of the Arbitration and Conciliation Act, 1996**. Part II gives effect to two important international conventions:

1. **The New York Convention, 1958**; and
2. **The Geneva Convention, 1927**.

The purpose of these conventions is to facilitate the recognition and enforcement of arbitral awards across national boundaries.

1. Meaning of Foreign Award

A foreign award is an arbitral award arising out of certain legal relationships, including commercial relationships, which is made in a foreign country and satisfies the conditions prescribed under the relevant Convention and the Arbitration and Conciliation Act, 1996.

Part II of the Act deals with the enforcement of:

- **New York Convention Awards** – Chapter I, Sections 44–52; and
- **Geneva Convention Awards** – Chapter II, Sections 53–60.

A foreign award is enforceable in India subject to the conditions and limitations prescribed by the Act.

2. NEW YORK CONVENTION, 1958

The **Convention on the Recognition and Enforcement of Foreign Arbitral Awards, 1958**, commonly known as the **New York Convention**, is the most important international instrument relating to the enforcement of foreign arbitral awards.

Its main objective is to ensure that arbitral awards made in one Convention country can be recognized and enforced in other Convention countries.

Meaning of New York Convention Award – Section 44

Under Section 44 of the Arbitration and Conciliation Act, 1996, a foreign award must satisfy certain requirements.

Broadly, the award must:

1. Arise out of a legal relationship, whether contractual or otherwise;
2. Be considered commercial under Indian law;
3. Be made pursuant to a written arbitration agreement;
4. Be made in a territory notified by the Central Government as a Convention country; and
5. Fall within the scope of the New York Convention.

Thus, not every foreign arbitral award automatically becomes enforceable as a New York Convention award in India.

3. Conditions for Enforcement of New York Convention Awards

Section 47 – Evidence Required

A party seeking enforcement of a New York Convention award must produce before the Court:

1. The original arbitral award or a duly authenticated copy;
2. The original arbitration agreement or a duly certified copy; and
3. Such evidence as may be necessary to establish that the award is a foreign award.

Where the documents are in a foreign language, a certified translation may also be required.

Section 48 – Grounds for Refusal of Enforcement

The enforcement of a foreign award may be refused only on the limited grounds mentioned in Section 48.

The party against whom enforcement is sought may establish grounds such as:

(i) Incapacity of Parties

The parties to the arbitration agreement were under some legal incapacity.

(ii) Invalid Arbitration Agreement

The arbitration agreement was not valid under the law applicable to it.

(iii) Lack of Proper Notice

The party against whom the award is invoked was not given proper notice regarding:

- Appointment of the arbitrator; or
- Arbitral proceedings.

(iv) Inability to Present the Case

The party was otherwise unable to present its case properly.

(v) Award Beyond the Scope of Arbitration

The award deals with matters beyond the scope of the arbitration agreement or submission.

(vi) Improper Composition of Tribunal or Procedure

The composition of the arbitral authority or the arbitral procedure was not in accordance with the agreement or the applicable law.

(vii) Award Not Yet Binding or Set Aside

The award has not yet become binding, or it has been set aside or suspended by a competent authority.

Additional Grounds

The Court may also refuse enforcement if:

1. The subject matter of the dispute is not capable of settlement by arbitration under Indian law; or
2. Enforcement would be contrary to the **public policy of India**.

The concept of public policy is interpreted narrowly. A foreign award cannot be refused enforcement merely because the Court disagrees with the reasoning or findings of the arbitral tribunal.

Section 49 – Enforcement

Once the Court is satisfied that the foreign award is enforceable, the award is deemed to be a **decree of that Court**.

It can then be executed in the same manner as a decree passed by an Indian court.

4. GENEVA CONVENTION, 1927

The **Geneva Convention on the Execution of Foreign Arbitral Awards, 1927** was an earlier international framework for the enforcement of foreign arbitral awards.

Under the Arbitration and Conciliation Act, 1996, provisions relating to Geneva Convention awards are contained in **Sections 53–60**.

Today, the New York Convention has much greater practical importance because of its wider international acceptance.

Meaning of Geneva Convention Award – Section 53

A Geneva Convention award must satisfy the requirements prescribed under Section 53.

Broadly, the award must:

- Arise from differences between persons arising out of a commercial legal relationship;
- Be made pursuant to an arbitration agreement;
- Be made in a Convention territory recognized by the Central Government; and
- Satisfy the requirements of the Geneva Convention.

Conditions for Enforcement of Geneva Convention Awards

Section 57

For enforcement of a Geneva Convention award, the party seeking enforcement must satisfy the conditions prescribed under the Act.

The Court must generally be satisfied that:

1. The award has been made pursuant to a valid arbitration agreement;
2. The award was made by a properly constituted arbitral tribunal;
3. The award has become final in the country where it was made;
4. The enforcement of the award is not contrary to Indian law or public policy; and
5. The subject matter is capable of settlement through arbitration.

The Court may refuse enforcement where there are valid grounds showing that the award should not be recognized.

5. Difference Between New York and Geneva Convention Awards

Basis	New York Convention	Geneva Convention
Convention	1958	1927
Indian Law	Sections 44–52	Sections 53–60
Present Importance	Widely used	Limited practical importance
Enforcement	More liberal and effective system	Comparatively restrictive
International Acceptance	Very wide	Limited compared to New York Convention

➤ Important Case Laws

Renusagar Power Co. Ltd. v. General Electric Co. (1994)

The Supreme Court considered the meaning of **public policy** in relation to the enforcement of a foreign arbitral award.

The Court held that enforcement may be refused on limited grounds, including where enforcement would be contrary to the fundamental policy of Indian law, the interests of India, or justice or morality.

Importance: This is a landmark case on the enforcement of foreign awards and the meaning of public policy.

Shri Lal Mahal Ltd. v. Progetto Grano Spa (2014)

The Supreme Court held that the scope of judicial review while enforcing a foreign award is limited.

The Court cannot review the foreign award on its merits or refuse enforcement merely because it believes that the arbitral tribunal made an error.

Principle: The scope of the public policy defence in foreign award enforcement is narrower than the scope applicable to domestic awards.

Vijay Karia v. Prysmian Cavi E Sistemi SRL (2020)

The Supreme Court emphasized the **pro-enforcement approach** towards foreign arbitral awards under the New York Convention.

It held that enforcement should not be refused on technical or minor grounds and that courts should exercise limited interference.

➤ Conclusion

A **foreign award** is an arbitral award made in a foreign jurisdiction that satisfies the requirements of the relevant international convention and Indian law. The Arbitration and Conciliation Act, 1996 provides separate provisions for the enforcement of **New York Convention Awards** and **Geneva Convention Awards**.

The **New York Convention** is the principal and most widely used system for the enforcement of foreign awards. The grounds for refusing enforcement are limited, reflecting the modern principle of **minimum judicial interference and a pro-enforcement approach**.

Therefore, the law relating to foreign awards promotes international trade and commerce by ensuring that arbitral awards can be effectively recognized and enforced across national boundaries.

2. CONCILIATION AND CONCILIATORS: APPOINTMENT, POWERS AND FUNCTIONS, SETTLEMENT AGREEMENT, ITS STATUS AND EFFECT, AND CONFIDENTIALITY IN PROCEEDINGS

Introduction

Conciliation is an important method of Alternative Dispute Resolution (ADR) in which a neutral third person, called a **conciliator**, assists the parties in resolving their dispute through mutual discussion and settlement.

Unlike a judge or arbitrator, a conciliator does not impose a decision upon the parties. The main objective is to help the parties reach an **amicable and mutually acceptable settlement**.

Traditionally, conciliation was governed by **Part III of the Arbitration and Conciliation Act, 1996**. However, the legal position has been significantly affected by the **Mediation Act, 2023**, which repealed the provisions relating to conciliation contained in Part III of the 1996 Act, subject to the saving provisions of the new Act. Therefore, the present law relating to conciliation must be understood in the context of both the earlier Arbitration and Conciliation Act framework and the Mediation Act, 2023.

1. Meaning and Nature of Conciliation

Conciliation is a voluntary process in which the disputing parties seek the assistance of an impartial third person to resolve their dispute.

The conciliator assists the parties by:

- Facilitating communication;
- Identifying the real issues in dispute;
- Reducing misunderstandings between the parties;
- Exploring possible solutions; and
- Suggesting terms of settlement where appropriate.

The final settlement depends upon the **consent and agreement of the parties**.

Main Features of Conciliation

1. It is an **ADR mechanism**.
2. It involves a neutral third person called a conciliator.
3. The conciliator does not give a binding judgment like an arbitrator.
4. The process is based on cooperation and mutual settlement.
5. The proceedings are generally confidential.

6. The parties retain control over the final outcome.

2. Conciliation and Mediation

Conciliation and mediation are similar because both involve the assistance of a neutral third person and aim at a voluntary settlement.

However, traditionally, a conciliator has been considered to have a relatively more active role. A conciliator may actively formulate proposals or suggest possible terms for settlement, whereas a mediator generally facilitates negotiations between the parties.

Basis	Conciliation	Mediation
Neutral third person	Conciliator	Mediator
Role	May actively suggest settlement	Primarily facilitates settlement
Decision	No binding decision imposed	No binding decision imposed
Outcome	Mutual settlement	Mutual settlement
Main objective	Amicable resolution	Party-centred resolution

3. Appointment of Conciliators

Under the traditional framework of the Arbitration and Conciliation Act, 1996, the parties were free to determine the number of conciliators.

There could generally be:

- One conciliator;
- Two conciliators; or
- Three conciliators.

However, it was preferable that the number of conciliators should be **odd**.

Appointment of One Conciliator

Where there was only one conciliator, the parties had to agree upon the person to be appointed.

The conciliator was expected to be independent, impartial and acceptable to both parties.

Appointment of Two Conciliators

Where two conciliators were appointed, each party could appoint one conciliator.

Appointment of Three Conciliators

Where three conciliators were appointed, each party could appoint one conciliator, and the parties could agree upon the appointment of the third conciliator.

The appointment process was based primarily on the principles of **consent, neutrality and confidence of the parties**.

4. Role and Functions of a Conciliator

The conciliator plays an important role in bringing the parties closer to a settlement.

The functions of a conciliator include:

(i) Assisting the Parties

The conciliator assists the parties in understanding the dispute and identifying the issues that require settlement.

(ii) Facilitating Communication

In many disputes, the conflict continues because the parties are unable or unwilling to communicate effectively. The conciliator helps restore communication between them.

(iii) Conducting Meetings

The conciliator may conduct:

- Joint meetings with both parties; and
- Separate meetings with each party.

Separate discussions may help the conciliator understand the interests and concerns of each party.

(iv) Identifying Possible Solutions

The conciliator may assist the parties in exploring different options for settlement.

Unlike an arbitrator, the conciliator does not decide which party is legally correct. The focus is on finding a practical and mutually acceptable solution.

(v) Making Proposals for Settlement

An important feature of traditional conciliation is that the conciliator may make proposals for settlement at any stage of the proceedings.

Such proposals are not binding upon the parties.

The parties are free to:

- Accept the proposal;
- Reject the proposal; or
- Modify it through mutual discussion.

5. Powers of the Conciliator

A conciliator has sufficient procedural flexibility to conduct the proceedings effectively.

The conciliator may:

1. Assist parties independently and impartially;
2. Conduct joint or separate meetings;
3. Request parties to submit statements and documents;
4. Suggest possible terms of settlement;
5. Consider the rights and obligations of the parties;
6. Take into account trade usages and business practices, where relevant; and
7. Conduct the proceedings in a manner suitable for achieving an amicable settlement.

The conciliator is not bound to follow the strict procedure applicable to ordinary civil courts.

However, the conciliator must act fairly and maintain impartiality.

6. Settlement Agreement

The main objective of conciliation is to reach a settlement.

When the conciliator considers that there are elements of settlement acceptable to the parties, he may formulate possible terms of settlement and submit them to the parties for their observations.

After considering the observations of the parties, the conciliator may revise the proposed terms.

If the parties agree upon a settlement, a **settlement agreement** is drawn up and signed by the parties.

The conciliator certifies the settlement agreement and provides copies to the parties.

7. Status and Effect of Settlement Agreement

Under the traditional framework of the **Arbitration and Conciliation Act, 1996**, a settlement agreement reached through conciliation had a special legal status.

The settlement agreement was:

- Final and binding upon the parties; and
- Persons claiming under them.

Further, it had the **same status and effect as an arbitral award on agreed terms**.

Therefore, a properly concluded conciliation settlement was not merely an ordinary private agreement. It enjoyed statutory recognition and could be enforced according to law.

This gave conciliation an important advantage as an ADR mechanism because the parties could obtain a legally recognized settlement without going through a complete court trial.

The current legal position must, however, be read in the light of the **Mediation Act, 2023**, which now provides the principal statutory framework for mediated settlements and has altered the earlier statutory scheme relating to conciliation.

8. Confidentiality in Conciliation Proceedings

Confidentiality is one of the most important principles of conciliation.

The parties and the conciliator are expected to maintain confidentiality regarding matters relating to the proceedings.

This generally includes:

- Discussions between the parties;
- Statements made during conciliation;
- Settlement proposals;
- Documents produced for the purpose of settlement; and
- Other information arising from the proceedings.

Confidentiality encourages parties to speak freely and honestly during the settlement process.

Inadmissibility of Certain Information

Information obtained during conciliation proceedings is generally protected from being used as evidence in later judicial or arbitral proceedings.

The parties should not ordinarily rely upon matters such as:

- Views or proposals expressed by the other party regarding settlement;
- Admissions made solely for the purpose of conciliation;
- Proposals made by the conciliator; or
- Indications of willingness to accept a settlement.

This rule promotes frank and open discussions.

Example

If A offers to pay a certain amount during conciliation only to explore a possible settlement, such offer should not ordinarily be treated as an admission of legal liability in subsequent proceedings.

9. Independence and Impartiality of Conciliator

The conciliator must act independently and impartially.

He should not favour one party or allow personal interest to affect the settlement process.

The confidence of both parties is essential because conciliation depends upon voluntary participation and trust.

The conciliator is also expected to assist both parties fairly in reaching an amicable settlement.

10. Termination of Conciliation Proceedings

Under the earlier statutory framework, conciliation proceedings could terminate:

1. When a settlement agreement was signed by the parties;
2. When the conciliator declared that further efforts at conciliation were no longer justified;
3. When the parties jointly declared that the proceedings were terminated; or
4. When one party gave written notice to the other party and the conciliator stating that it did not wish to continue the proceedings.

Thus, participation in conciliation was essentially voluntary, and a party could decide not to continue the process.

➤ Important Case Laws

Haresh Dayaram Thakur v. State of Maharashtra (2000)

The Supreme Court discussed the nature and legal effect of a settlement agreement reached through conciliation.

The Court emphasized that the statutory requirements relating to the settlement agreement must be properly fulfilled for it to receive the legal status provided under the law.

Principle: A valid conciliation settlement agreement has statutory force and cannot be treated merely as an informal understanding.

Mysore Cements Ltd. v. Svedala Barmac Ltd. (2003)

The Supreme Court recognized the importance of ADR mechanisms and emphasized the legislative policy of encouraging the settlement of disputes outside the ordinary court process.

Importance: The case reflects the judicial approach supporting effective dispute resolution through arbitration and other ADR mechanisms.

➤ Conclusion

Conciliation is an important ADR process in which a neutral conciliator assists parties in resolving their dispute through mutual agreement. The conciliator may play an active role by facilitating communication and suggesting possible terms of settlement, but cannot impose a decision upon the parties.

A settlement reached through the statutory conciliation process traditionally enjoyed a special legal status equivalent to an **arbitral award on agreed terms**. Confidentiality is another essential feature, as it allows the parties to negotiate freely without fear that settlement discussions will later be used against them.

Thus, conciliation promotes **speedy, economical, flexible and amicable resolution of disputes**, while the current legal framework must also be understood in light of the changes introduced by the **Mediation Act, 2023**.

~Abhishek Chaudhary